

Management

Management may be labeled as the art of getting work done through people, with satisfaction for employer, employees and the public

For getting the work done (of an enterprise) through the efforts of other people, it is necessary to guide, direct, coordinate and control human efforts towards the fulfillment of the goals of the enterprise through the use of resources like men, money, materials and machines.

According to F.W. Taylor management is the “Art of knowing what you want to do and then seeing that it is done the best and cheapest way”.

According to Henry Fayol – “To Manage is to forecast, to plan, to organise, to command, to coordinate and to control”.

Management may be called an Art as well as Science.

- a) Management has scientific basis because management techniques are susceptible to measurement and factual determination.
- b) Management is an Art because management means coordinating and getting work done through others.

Characteristics of Management

- (i) Management is goal oriented :- It achieves the organizational goals through coordination of the efforts of the personnel.
- (ii) Management works as a catalyst:- to produce goods using labour, materials, and capital
- (iii) Management is a distinct process:- comprising of functions such as planning, organising, staffing, directing and controlling.
- (iv) Management represents a system of authority:- a hierarchy of command and control. Managers at different levels possess varying degrees of authority.
- (v) Management is a unifying force:- It integrates human and other resources to achieve the desired objectives.
- (vi) Management harmonizes:- the individual's goals with the organizational goals to minimize conflicts in the organization.
- (vii) Management is a multidisciplinary subject:- It grew taking the help of subjects such as Engineering, Psychology, Sociology, Anthropology, Operations Research etc.
- (viii) Management is universal in character:- The principles and techniques of management are equally applicable in the fields of business, industry, education, government, army, hospitals etc.

Levels of Management

The level of management determines a chain of command, the amount of authority & status enjoyed by any managerial position. Management/Industrial Management has got the following activity levels.

1. Top Management.
2. Upper Middle Management
3. Middle Management.
4. Lower Management (Foremen etc)
5. Operating force or Rank and File workman

1. Top Management

Top Management includes

- a) Board of Directors
- b) Managing Directors.
- c) Chief Executives.
- d) General Managers.
- e) Owners.
- f) Share-holders/Financiers.

Top Management Functions are

- (a) Setting basic goals and objectives.
- (b) Expanding or contracting activities.
- (c) Establishing policies.
- (d) Monitoring performance.
- (e) Designing/Redesigning organization system.

2. Upper Middle Management

Upper Middle Management includes

- a) Sales Executive (Manager).
- b) Production executive.
- c) Finance executive.
- d) Accounts executive.
- e) R & D executive.

Upper Middle Management Functions are

- a) Establishment of the organization.
- b) Selection of staff for lower levels of management.
- c) Installing different departments.
- d) Designing operating policies and routines.
- e) Assigning duties to their subordinates, etc.

3. Middle Management

Middle Management includes

- a) Superintendents.
- b) Branch managers.
- c) General Foremen, etc

Middle Management Functions are

- a) To cooperate to run organization smoothly.
- b) To understand interlocking of departments in major policies.
- c) To achieve coordination between different parts of the organization.
- d) To conduct training for employee development.
- e) To build an efficient company team spirit

4. Lower Management

Lower Management includes

- a) Foreman
- b) Supervisors or charge-hands.
- c) Office superintendent
- d) Inspectors, etc.

Lower Management Functions are

- a) Direct supervision of workers and their work.
- b) Developing and improving work methods and operations.
- c) Inspection function.
- d) Imparting instruction to workers
- e) To give finishing touch to the plans and policies of top management.
- f) To act as a link between top management and the operating force (ie, workers).
- g) To communicate the feelings of workers to the top management.

5. Operating Force

Operating Force includes

- a) Workers, rank and file workman, skilled, semi-skilled and unskilled

Operating Force functions are

- a) To do work on machines or manually, using tools, etc
- b) To work independently (in case of skilled worker) or under the guidance of supervisor.

Managerial Skills

The skills required of a successful manager, whether he is working in a business organisation, an educational institution or a hospital may be classified as follows:-

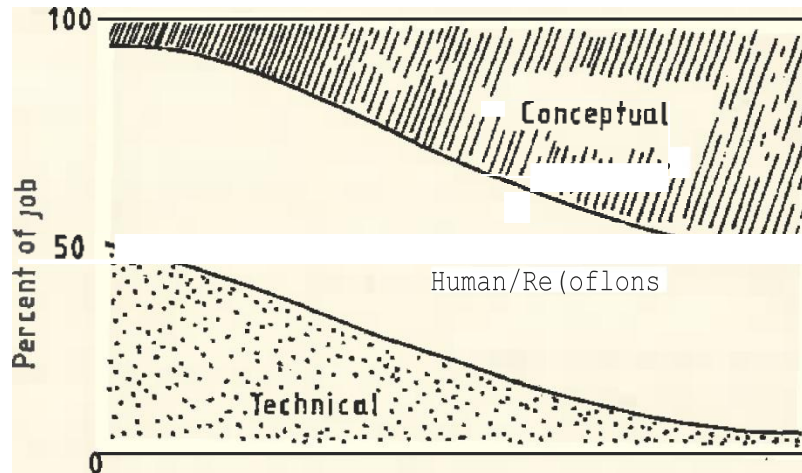
- (a) Technical skills (1)
 - (b) Decision making skills
 - (c) Organizational skills
 - (d) Communicating skills
 - (e) Motivating skills
 - (f) Leadership skills
- Conceptual skills (2)
 Human relation skills (3)

(1) Technical skills

- Technical skill refers to the proficiency in handling methods, processes and techniques of a particular kind of business.
- It is essential for a manager to know which technical skill should be employed in a particular work

(2) Conceptual skills

- Conceptual skill is the ability to see the organization as a whole, to recognize inter-relationships among different functions of the business and external forces and to guide effectively the organizational efforts.
- Conceptual skill is critical in top executive positions whereas technical skill is essential for lower level management.
- It is easier to learn technical skill than the conceptual skill.



Decision making skills

Decision making skill is the ability of a person to take timely and accurate decisions. This requires mental ability and presence of mind.

Organisational skills

Organisational skills help select and fix different people at different work. This means placing right people for the right job.

(3) Human relation skills

- Human relation skill refers to the ability to work effectively with others and build cooperative work groups to achieve organisational goals.

Communicating skill

Communicating skill is the ability to pass on information to other. Improper, insufficient and poorly expressed information can create confusion and annoy the subordinates.

Motivating skill

Motivating skill inspires people to do what the manager wants them to do. The manager can use positive or negative motivational methods. Positive motivational methods include, reward, praise etc, whereas negative motivational methods involve punishment, reprimand, threat etc

Leadership skills

Leadership skill enables a manager to lead the people working under his.

It is the ability to inspire confidence and trust in the subordinates in order to have maximum cooperation from them for getting the work done.

Functions of Management

- Since some functions are basic to managerial activities at all levels from the foreman to the manager, they are applicable to all business enterprises.
- the following eight functions may be used to describe the job of management

1. Forecasting.
2. Planning.
3. Organising.

4. Staffing.
5. Directing
 - Leadership
 - Communication
 - Motivation
 - Supervision
6. Coordinating.
7. Controlling.
8. Decision making.

1. Forecasting

- Forecasting is a necessary preliminary to planning
- Forecasting estimates the future work or what should be done in future; may be as regards Sales or Production or any other aspect of business activities.
- Forecasting begins with the sales forecast and is followed by production forecast and forecasts for costs, finance, purchase, profit or loss, etc.

2. Planning

- Planning all aspects of production, selling, etc, are essential in order to minimize intangibles.
- Planning is a process by which a manager anticipates the future and discovers alternative courses of action open to him.
- Planning is a rational, economic, systematic way of making decisions today which will affect the future e.g., what will be done in future, who will do it and where it will be done.
- In fact, every managerial act, whether it be mental or physical, is inevitably tangled with planning.
- Without proper planning, the activities of an enterprise may become confused, haphazard and ineffective
- Prior planning is very essential for utilizing the available facilities (men, materials, machines etc.) to the best of advantage.

3. Organising

- Organising is the process by which the structure and allocation of jobs is determined.
- Organising involves determining activities required to achieve the established company objectives, grouping these activities in a logical basis for handling by subordinate(persons), managers, and finally, assigning persons to the job designed.
- organising means, organising people, materials ,jobs, time etc. ,and establishing a framework in which responsibilities are defined and authorities are laid down.

4. Staffing

- Staffing is the process by which managers select, train, promote and retire their subordinates.
- Staffing involves the developing and placing of qualified people in the various

jobs in the organisation.

- Staffing is a continuous process. The aim is to have appropriate persons to move into vacated positions or positions newly created in the enterprise.
5. Directing
- Directing is the process by which actual performance of subordinates is guided towards common goals of the enterprise.
 - Directing involves motivating, guiding and supervising subordinates towards company objectives.
 - Directing thus includes:
 - (i) Giving instructions to subordinates.
 - (ii) Guiding the subordinates to do the work
 - (iii) Supervising the subordinates to make certain that the work done by them is as per the plans established
 - Directing involves functions such as
 - (a) Leadership, (b) Communication, (c) Motivation, and (d) Supervision
6. Coordinating
- ~~Coordinating~~ means achieving harmony of individual effort towards the accomplishment of company objectives
 - In other words, the merging and harmonizing of all the company assets and employees into a coherent whole is known as coordination.
 - Ineffective coordination between different functions of a business enterprise (such as production, sales, administration, etc) can ruin the enterprise.
 - Besides other factors, informal relationships within an organization also tend to facilitate coordination, because workers, who like each other outside the factory, prefer to work together on the job also.
7. Controlling
- Controlling is the process that measures current performance and guides it towards some predetermined goal.
 - Controlling involves:
 - the monitoring of programme activities to make sure that end objectives are being met.
 - the initiation of corrective action as required to overcome problems, if any, hindering the accomplishment of objectives.
 - Checks and examinations are required on a periodic basis to ensure that the things are proceeding as per plans established.
 - Controlling is necessary to ensure that orders are not misunderstood, rules are not violated and objectives have not been unknowingly shifted.
 - Controlling, process
 - Set standards, measure job performance and take corrective actions if required

8. Decision Making

- Decision making is the process by which a course of action is consciously chosen from a available alternatives for the purpose of achieving desired results.
- An outstanding quality of a successful manager is his ability to make sound and logical decisions.
- Management decisions range from establishing consumer operational development needs to the selection of a preferred system design configuration to many other aspects of a business enterprise.

Formal Organisation

In every enterprise, there are certain rules and procedures that establish work relationships among the employees. These facilitate the smooth functioning of the enterprise. Further, they introduce a systematic flow of interactions among the employees. Effectively, all of this is done through a formal organisation.

The formal organisation refers to the structure of jobs and positions with clearly defined functions and relationships as prescribed by the top management. This type of organization is built by the management to realise objectives of an enterprise and is bound by rules, systems and procedures. Everybody is assigned a certain responsibility for the performance of the given task and given the required amount of authority for carrying it out

The formal organisation is built around four key pillars. They are:

- Division of labour
- Scalar and functional processes
- Structure and
- Span of control

Characteristic Features of formal organisation

1. Formal organisation structure is laid down by the top management to achieve organisational goals.
2. Formal organisation prescribes the relationships amongst the people working in the organisation.
3. The organisation structures is consciously designed to enable the people of the organisation to work together for accomplishing the common objectives of the enterprise
4. Organisation structure concentrates on the jobs to be performed and not the individuals who are to perform jobs.

5. In a formal organisation, individuals are fitted into jobs and positions and work as per the managerial decisions. Thus, the formal relations in the organisation arise from the pattern of responsibilities that are created by the management.
6. A formal organisation is bound by rules, regulations and procedures.
7. In a formal organisation, the position, authority, responsibility and accountability of each level are clearly defined.
8. Organisation structure is based on division of labour and specialisation to achieve efficiency in operations.
9. A formal organisation is deliberately impersonal. The organisation does not take into consideration the sentiments of organisational members.
10. The authority and responsibility relationships created by the organisation structure are to be honoured by everyone.
11. In a formal organisation, coordination proceeds according to the prescribed pattern.

Advantages of formal organisation

1. The formal organisation structure concentrates on the jobs to be performed. It, therefore, makes everybody responsible for a given task.
2. A formal organisation is bound by rules, regulations and procedures. It thus ensures law and order in the organisation.
3. The organisation structure enables the people of the organisation to work together for accomplishing the common objectives of the enterprise

Disadvantages or criticisms of formal organisation

- The formal organisation does not take into consideration the sentiments of organisational members.
- The formal organisation does not consider the goals of the individuals. It is designed to achieve the goals of the organisation only.
- The formal organisation is bound by rigid rules, regulations and procedures. This makes the achievement of goals difficult.

Informal Organisation

Informal organisation refers to the relationship between people in the organisation based on personal attitudes, emotions, prejudices, likes, dislikes etc. an informal organisation is an organisation which is not established by any formal authority, but arises from the personal and social relations of the people.

These relations are not developed according to procedures and regulations laid down in the formal organisation structure; generally large formal groups give rise to small informal or social groups. These groups may be based on same taste, language, culture or some other factor. These groups are not pre-planned, but they develop automatically within the organisation according to its environment.

Characteristics features of informal organisation

1. Informal organisation is not established by any formal authority. It is unplanned and arises spontaneously.
2. Informal organisations reflect human relationships. It arises from the personal and social relations amongst the people working in the organisation.
3. Formation of informal organisations is a natural process. It is not based on rules, regulations and procedures.
4. The inter-relations amongst the people in an informal organisation cannot be shown in an organisation chart.
5. In the case of informal organisation, the people cut across formal channels of communications and communicate amongst themselves.
6. The membership of informal organisations is voluntary. It arises spontaneously and not by deliberate or conscious efforts.
7. Membership of informal groups can be overlapping as a person may be member of a number of informal groups.
8. Informal organisations are based on common taste, problem, language, religion, culture, etc. it is influenced by the personal attitudes, emotions, whims, likes and dislikes etc. of the people in the organisation.

Advantages of Informal organisation

1. It blends with the formal organisation to make it more effective.
2. The presence of informal organisation in an enterprise makes the managers plan and act more carefully.
3. Informal organisation acts as a means by which the workers achieve a sense of security and belonging. It provides social satisfaction to group members.
4. An informal organisation has a powerful influence on productivity and job satisfaction.
5. The informal leader lightens the burden of the formal manager and tries to fill in the gaps in the manager's ability.
6. Informal organisation helps the group members to attain specific personal objectives.
7. Informal organisation is the best means of employee communication. It is very fast.
8. Informal organisation gives psychological satisfaction to the members. It acts as a safety valve for the emotional problems and frustrations of the workers of the organisation because they get a platform to express their feelings.
9. It serves as an agency for social control of human behaviour.

Disadvantages

- The informal organisation is random and can result in the spread of rumours. Again, we cannot manage and control informal organisation. Consequently, this may result in chaos within the enterprise.

- It is important to realise that it is not possible to effect changes and grow without the support of the informal organisation. This can work in both ways, for growth or decline of the enterprise.
- Informal organisation conforms to group standards and behaviours. If such behaviours are against the organisational interests, they can eventually lead to disruption of the organisation.

Formal Organisation	Informal Organisation
1. Formal organisation is established with the explicit aim of achieving well-defined goals.	1. Informal organisation springs on its own. Its goals are ill defined and ntangible.
2. Formal organisation is bound together by authority relationships among members. A hierarchical structure is created, constituting top management, middle management and supervisory management.	2. Informal organisation is characterised by a generalised sort of power relationships. Power in informal organisation has bases other than rational legal right.
3. Formal organisation recognises certain tasks and activities which are to be carried out to achieve its goals.	3. Informal organisation does not have any well-defined tasks.
4. The roles and relationships of people in formal organisation are impersonally defined	4. In informal organisation the relationships among people are interpersonal.
5. In formal organisation, much emphasis is placed on efficiency, discipline, conformity, consistency and control.	5. Informal organisation is characterised by relative freedom, spontaneity, homeliness and warmth.
6. In formal organisation, the social and psychological needs and interests of members of the organisation get little attention.	6. In informal organisation the socio-psychological needs, interests and aspirations of members get priority.
7. The communication system in formal organisation follows certain pre-determined patterns and paths.	7. In informal organisation, the communication pattern is haphazard, intricate and natural.
8. Formal organisation is relatively slow to respond and adapt to changing situations and realities.	8. Informal organisation is dynamic and very vigilant. It is sensitive to its surroundings.